



Economic Research Team

(160)

STATE 2025

Topic

Explain the primary objectives of monetary policy and discuss the tools central banks use to achieve these objectives. Evaluate the effectiveness of these tools in managing inflation and promoting economic stability, providing real-world examples to support your argument.

In your response, consider the following:

- the main tools used by central banks to implement monetary policy, including open market operations, the discount rate, and reserve requirements.
- criticisms regarding the effectiveness and possible unintended consequences of central banks
- future challenges and opportunities for central banks.

Judging Procedure

As a team of judges, formulate two to three questions to ask at the conclusion of the presentation. Be sure to ask the same questions of each team.

- Teams will present before a panel of judges and timekeeper.
- The set-up time will be no more than three (3) minutes.
- The presentation will be no more than seven (7) minutes; followed by judges' questions not to exceed five (5) minutes.
- Excuse teams upon completion of judges' questions.
- There can be no ties in the top ten (10) teams. It is the responsibility of the judges to break any ties.
- Administrator will fill out the ranking sheet prior to dismissing the judges.
- If more than one (1) section is necessary, finalists will be determined by selecting an equal number from each section.
- Give administrator all Judges' Rating Sheets, Judge Evaluation Sheets, and contest materials.
- No audience is allowed in the contest room.

Potential Questions for Economic Research Team

1. Can you explain how open market operations are used by central banks to implement monetary policy?
2. How does the discount rate function as a tool for central banks to achieve their monetary policy objectives?
3. What role do reserve requirements play in the implementation of monetary policy?
4. How do central banks balance the goals of controlling inflation and promoting economic growth?
5. What future challenges do central banks face in implementing monetary policy?

Please double-check and verify all scores!